



MTP Department
SIMHADRI

Note No :1



Ref:SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Date:

15/09/2025(11:26:16)

Subject:LMI FOR POOLING OF INTERCHANGEABLE HIGH VALUE SPARES REV

LMI on "Pooling of Interchangeable High Value Spares" (LMI/OD/OPS/SYST/014 Rev 7 & SEP 2025) is prepared based on COS-ISO-00-OD/OPS/SYST/014 Rev. No.: 3 Aug. 2025.

LMI has been revised as per standard format of Simhadri LMI (Guidelines for Issue of LMIs as a Controlled Document) LMI/OGN/GEN/002 Rev:04 and attached as LMI System for Pooling of Interchangeable High Value Spares.pdf

Submitted for approval please.

Enclosures:

1. COS-ISO-00-OD/OPS/SYST/014 Rev. No.: 3 Aug 2025
3. LMI for Pooling of Interchangeable High Value Spares Rev 07 & Sep 2025.

Submitted by:

गरिमा रावत - वरिष्ठ प्रबंधक

GARIMA RAWAT - 102888 (SENIOR MANAGER ,MTP) ,Simhadri
(GARIMARAWAT@NTPC.CO.IN, 8527597144)

On:15/09/2025(11:26:16) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:2

Submitted for approval please.

Submitted by:

भास्कर वी के कुरीचेटी - अपर महाप्रबंधक

Bhaskar V K Kurichety - 008045 (ADDL. GENERAL MANAGER ,MTP)
(KBHASKAR@NTPC.CO.IN, 9445864820) ,Simhadri

On:15/09/2025(11:32:53) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:3

It is requested to modify as per standard format of Simhadri LMI (Guidelines for Issue of LMIs as a Controlled Document) LMI/OGN/GEN/002 Rev:04 as uploaded on Simhadri EEMG LAN

Submitted by:

अजय गुप्ता - उप महाप्रबंधक

Ajay Gupta - 008565 (DY. GENERAL MANAGER ,EEMG)
(AJAYGUPTA04@NTPC.CO.IN, 9958105993) ,Simhadri

On:15/09/2025(11:51:33) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:4

Submitted by:

भास्कर वी के कुरीचेटी - अपर महाप्रबंधक

Bhaskar V K Kurichety - 008045 (ADDL. GENERAL MANAGER ,MTP)
(KBHASKAR@NTPC.CO.IN, 9445864820) ,Simhadri

On:15/09/2025(16:02:49) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:5

LMI has been revised as per standard format of Simhadri LMI (Guidelines for Issue of LMIs as a Controlled Document) LMI/OGN/GEN/002 Rev:04) and attached as annexure LMI on system for pooling of high value Spares.

Submitted by:

गरिमा रावत - वरिष्ठ प्रबंधक

GARIMA RAWAT - 102888 (SENIOR MANAGER ,MTP)

(GARIMARAWAT@NTPC.CO.IN, 8527597144) ,Simhadri

On:15/09/2025(17:04:31) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:6

Submitted for approval please.

Submitted by:

भास्कर वी के कुरीचेटी - अपर महाप्रबंधक

Bhaskar V K Kurichety - 008045 (ADDL. GENERAL MANAGER ,MTP)

(KBHASKAR@NTPC.CO.IN, 9445864820) ,Simhadri

On:15/09/2025(17:11:45) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:7

Submitted by:

अजय गुप्ता - उप महाप्रबंधक

Ajay Gupta - 008565 (DY. GENERAL MANAGER ,EEMG)

(AJAYGUPTA04@NTPC.CO.IN, 9958105993) ,Simhadri

On:15/09/2025(18:51:16) **Ref:**SMTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:8

LMI is in line with the OGN. Forwarded for further review.

Submitted by:

नवीन किशोर - अपर महाप्रबंधक

Navin Kishore - 006964 (ADDL. GENERAL MANAGER ,EEMG)

(NAVINKISHORE@NTPC.CO.IN, 9650990460) ,Simhadri

On:17/09/2025(10:19:20) **Ref:**SMTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:9

Submitted by:

रोहित प्रकाश - अपर महाप्रबंधक

Rohit Prakash - 008600 (ADDL. GENERAL MANAGER ,C&M)

(ROHITPRAKASH@NTPC.CO.IN, 9650992717) ,Simhadri

On:18/09/2025(09:43:34) **Ref:**SMTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:10

Submitted by:

सतीश चन्द्र मिश्रा - उप महाप्रबंधक

Satish Chandra Mishra - 078593 (DY. GENERAL MANAGER ,MECH MAINT- BOILER)
(SCMISHRA01@NTPC.CO.IN, 9650872225) ,Simhadri

On:18/09/2025(18:38:20) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:11

Reviewed and found in line.

Submitted by:

अनिल कुमार मौर्या - अपर महाप्रबंधक

Anil Kumar Maurya - 008631 (ADDL. GENERAL MANAGER ,C & I MAINT)
(ANILKUMARMAURYA@NTPC.CO.IN, 8004940574) ,Simhadri

On:22/09/2025(09:14:17) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:12

May please see

Submitted by:

पी गंगाधर - अपर महाप्रबंधक

Padala Hari Veera Gangadhar - 008164 (ADDL. GENERAL MANAGER ,CIVIL MAINT.)
(PHVGANGADHAR@NTPC.CO.IN, 9650998462) ,Simhadri

On:22/09/2025(10:26:06) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:13

Submitted by:

चन्द्र शेखर गोडी - उप महाप्रबंधक

CHANDRA SEKHAR GODI - 085565 (DY. GENERAL MANAGER ,CIVIL MAINT.)
(CSGODI@NTPC.CO.IN, 8332862038) ,Simhadri

On:24/09/2025(10:12:02) **Ref:**SMTTP/Maint. PLNG./2025-26/POOLEDSP/419809

Note No:14

Submitted by:

पी गंगाधर - अपर महाप्रबंधक

Padala Hari Veera Gangadhar - 008164 (ADDL. GENERAL MANAGER ,CIVIL MAINT.)
(PHVGANGADHAR@NTPC.CO.IN, 9650998462) ,Simhadri

On:24/09/2025(17:42:03) **Ref:**SMTTP/Maint. PLNG./2025-26/POOLEDSP/419809

Note No:15

please see.

Submitted by:

आशीष वर्मा - अपर महाप्रबंधक

Ashish Verma - 008140 (ADDL. GENERAL MANAGER ,FUEL HAND.- MECH MAINT)
(ASHISHVERMA@NTPC.CO.IN, 9650995131) ,Simhadri

On:27/09/2025(11:26:25) **Ref:**SMTTP/Maint. PLNG./2025-26/POOLEDSP/419809

Note No:16

LMI is in line with the OGN. Forwarded for further review please.

Submitted by:

सौरभ शर्मा - उप महाप्रबंधक

SAURABH SHARMA - 101494 (DY. GENERAL MANAGER ,FUEL HAND.- MECH MAINT)
(SAURABHSHARMA01@NTPC.CO.IN, 9425281317) ,Simhadri

On:27/09/2025(11:48:54) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:17

Reviewed. No CHP itemis included in "ANNEXURE-A: LIST OF POOLED SPARES AT SIMHADRI".

Submitted for further processing please.

Submitted by:

आशीष वर्मा - अपर महाप्रबंधक

Ashish Verma - 008140 (ADDL. GENERAL MANAGER ,FUEL HAND.- MECH MAINT)
(ASHISHVERMA@NTPC.CO.IN, 9650995131) ,Simhadri

On:27/09/2025(14:33:38) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:18

Reviewed and found in line with OGN.

Submitted by:

मलय कांति जाना - अपर महाप्रबंधक

Malay Kanti Jana - 007824 (ADDL. GENERAL MANAGER ,ELECT MAINT)
(MKJANA@NTPC.CO.IN, 9437963403) ,Simhadri

On:30/09/2025(17:23:49) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:19

For review.

Submitted by:

नीलांजन मंडल - अपर महाप्रबंधक

Nilanjan Mandal - 007418 (ADDL. GENERAL MANAGER ,MECH MAINT- TURBINE)
(NILANJANMANDAL@NTPC.CO.IN, 9434097418) ,Simhadri

On:30/09/2025(21:36:44) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:20

LMI reviewed and is in line with the revised OGN.

Forwarded for approval.

Submitted by:

के पी रमेश - उप महाप्रबंधक

KANADE PIYUSH RAMESH - 101897 (DY. GENERAL MANAGER ,MECH MAINT- TURBINE)
(PIYUSHKANADE@NTPC.CO.IN, 9425219272) ,Simhadri

On:04/10/2025(10:24:39) **Ref:**SMTTP/Maint. PLNG./2025-26/POOLEDSP/419809

Note No:21

Forwarded for further review.

Submitted by:

नीलांजन मंडल - अपर महाप्रबंधक

Nilanjan Mandal - 007418 (ADDL. GENERAL MANAGER ,MECH MAINT- TURBINE)
(NILANJANMANDAL@NTPC.CO.IN, 9434097418) ,Simhadri

On:04/10/2025(10:26:51) **Ref:**SMTTP/Maint. PLNG./2025-26/POOLEDSP/419809

Note No:22

Reviewed and found in line with OGN, may please process further.

Submitted by:

राजेश चावला - अपर महाप्रबंधक

Rajesh Chawla - 007383 (ADDL. GENERAL MANAGER ,ASH HANDLING)
(RAJESHCHAWLA@NTPC.CO.IN, 9425534528) ,Simhadri

On:06/10/2025(09:59:06) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:23

Reviewed and found in line with OGN

Submitted by:

दिव्य चावला - अपर महाप्रबंधक

Divya Chawla - 007348 (ADDL. GENERAL MANAGER ,MTP)
(DIVYACHAWLA@NTPC.CO.IN, 9425534526) ,Simhadri

On:06/10/2025(10:20:24) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:24

Forwarded for approval

Submitted by:

जे आर वर्गीस - अपर महाप्रबंधक

Jayamol Rachel Varughese - 006127 (ADDL. GENERAL MANAGER ,MTP)
(JAYAMOLRV@NTPC.CO.IN, 9440918557) ,Simhadri

On:06/10/2025(10:42:38) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:25

Attached LMI may please be reviewed.

Submitted by:

नवीन किशोर - अपर महाप्रबंधक

Navin Kishore - 006964 (ADDL. GENERAL MANAGER ,EEMG)
(NAVINKISHORE@NTPC.CO.IN, 9650990460) ,Simhadri

On:07/10/2025(10:35:14) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:26

Submitted by:

टी वी राजशेखर - अपर महाप्रबंधक

T V Rajasekhar - 007005 (ADDL. GENERAL MANAGER ,MECH MAINT- OFF SITE)
(TVRSEKHAR@NTPC.CO.IN, 9650998176) ,Simhadri

On:07/10/2025(18:35:32) **Ref:**SMTTP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:27

LMI is in line with the OGN. May please be approved.

Submitted by:

नवीन किशोर - अपर महाप्रबंधक

Navin Kishore - 006964 (ADDL. GENERAL MANAGER ,EEMG)
(NAVINKISHORE@NTPC.CO.IN, 9650990460) ,Simhadri

On:07/10/2025(20:19:58) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:28

May please approve.

Submitted by:

हेमेन्द्र कुमार वर्मा - महाप्रबंधक

Hemendra Kumar Verma - 006459 (GENERAL MANAGER ,MAINTENANCE)
(HKVERMA02@NTPC.CO.IN, 7091092468) ,Simhadri

On:09/10/2025(10:28:13) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:29

Submitted by:

अहमद कौनैन रज़ा - महाप्रबंधक

Ahmad Kaunain Raza - 006151 (GENERAL MANAGER ,O & M)
(AKRAZA@NTPC.CO.IN, 9407064096) ,Simhadri

On:09/10/2025(20:25:44) **Ref:**SMTTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

Note No:30

Approved & Submitted by:

समीर शर्मा - कार्यकारी निदेशक

Sameer Sharma - 005041 (EXECUTIVE DIRECTOR ,HEAD OF PROJECT)
(SAMEERSHARMA@NTPC.CO.IN, 9650990022) ,Simhadri

On:10/10/2025(17:42:17) **Ref:**SMTPP/MAINT. PLNG./2025-26/POOLEDSP/419809

NTPC

SIMHADRI

LOCATION MANAGEMENT INSTRUCTION

**SYSTEM FOR POOLING OF INTERCHANGEABLE HIGH VALUE
SPARES**

LMI/OD/OPS/SYST/014 Rev: 07

SEP-2025

Approved for Implementation by HOP (SIMHADRI)

LMI APPROVAL DOCUMENT

1	LMI NAME	System for pooling of interchangeable high value spares
2	LMI No.	LMI/OD/OPS/SYST/014 Rev no 07 & Sep 2025,
3	Reference Document	OD/OPS/SYST/014 Rev 03 Aug 2025
4	Superseded Document	LMI/OD/OPS/SYST/014 Rev no 06 & Dec 2024
5	Prepared By	Garima Rawat, Sr. Manager (MTP)
6	Checked By	KVK Bhaskar, HOD (MTP)
7	Reviewed By	A K Raza GM (O&M)
8	Approved By	Sameer Sharma HOP -Simhadri

INDEX

SL.No.	Particulars	Page No.
1.0	Introduction	1
2.0	Superseded Documents	1
3.0	Details of Revision	1-2
4.0	Definitions	2-3
5.0	Item Identification	3
6.0	Pooling Mechanism	4-6
7.0	Transfer/Transaction of Station Stock/Material	6-23
8.0	Record keeping	23
9.0	Review	23
10.0	Distribution List	23
11	Annexure A	24

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

1.0 INTRODUCTION

The policy of pooling interchangeable high value spares is aimed at achieving the long-term business objective of:

- a) Minimizing the stock out of critical spares
- b) Monitoring repair/procurement of used Spares for replenishment to the Pool
- c) Optimizing cost of inventory.

2.0 SUPERSEDED DOCUMENTS:

Operation Directive "System for Pooling of Interchangeable High Value Spares, OD- OPS-SYST-014 Rev. 2 Aug 2022. & simhadri
LMI/OD/OPS/SYST/014 REV 02 Dec 2024

3.0 DETAILS OF REVISION:

Operation Directive "System for Pooling of Interchangeable High Value Spares, OD- OPS-SYST-014 Rev. 3 Aug 2025. & simhadri
LMI/OD/OPS/SYST/014 REV 02 Dec 2024.

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

Clause	Rev 2.0	Rev 3.0
4.3 Definition of Holding Station	The station, which helps the Borrowing Station, by giving its spare on returnable basis.	The station which has the possession of Pooled Spare, helps the Borrowing Station by giving pooled spare.
4.5 Definition of Distributed Inventory holding Point No. (3)	Holding station is responsible for transportation of spare to the borrowing station and vice versa.	The Head of the lending station is responsible for ensuring the fastest possible dispatch of the spare/equipment to minimize downtime.
Clause 6.1.2	Ensure availability of transportation arrangement for the pooled spares	The Head of the lending station is responsible for ensuring the fastest possible dispatch of the spare/equipment to minimise downtime
6.2 Pooling processes & Monitoring System	-	Flow chart and format Modified
Clause No. 7.0	Issue of materials from NTPC to other power utilities	Completely Modified as per Annexure-I Transfer/Transaction of Station Stock/Material

Annexure-I	MOU format for interchangeable Spares	Annexure Changed and earlier format included in clause 6.2 CC-OS circular (COS/Cir/ED/2025/01 dated 12.01.2025) on Transfer/Transaction of Station Stock/Material as Annexure-I
Annexure-II	Policy on issue of material from NTPC units to other Power Utilities	Annexure Changed and earlier policy is replaced with new policy in Annexure-I Operating Guideline for Approval, Disclosure & Monitoring Mechanism of Related Party Transactions (RPTs) added at Annexure-II

4.0 DEFINITIONS:

4.1 Pooling of Spares

An arrangement where stations would share high value common spares amongst them.

4.2 Borrowing Station

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

The Station, which is a member of the pool, and is requesting spare from the holding station.

4.3 Holding Station

The station which has the possession of Pooled Spare, helps the Borrowing Station by giving pooled spare.

4.4 Stations in pool

Stations having interchangeable pooled spares.

4.5 Distributed Inventory Holding

- Pooled spares to remain at holding stations
- Holding station to be responsible for maintenance/preservation of the spares
- The Head of the lending station is responsible for ensuring the fastest possible dispatch of the spare/equipment to minimize downtime..

5.0 ITEM IDENTIFICATION:

High value critical spares, the non-availability of which would result in long term outage of the unit / equipment shall be identified by each station and their interchangeability would be finalized by steering committee.

6.0 POOLING MECHANISM:

The implementation of pooling process across NTPC would be coordinated by the steering committee.

6.1 Steering Committee:

The Steering committee would be headed by ED(COS) with one member each from Corporate Operation Services and Regions.

6.1.1 The Steering committee would exercise overall control over the pooled spares and would have following responsibilities:

- Finalize the list of spares for pooling
- Monitor the preservation / maintenance of spares as per the approved guidelines by holding stations during technical audit
- Decide the stock holding quantity for pooled spares
- Provide necessary assistance to the stations in pool
- Ensure availability of pooled spares to stations in pool whenever required
- Ensure easy access of information regarding spares in the pool
- Conduct regular reviews to update and expand the pool
- Regular status monitoring of spares for replenishment to the pool
- Regular monitoring of the availability of transportation arrangement at stations in pool.

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

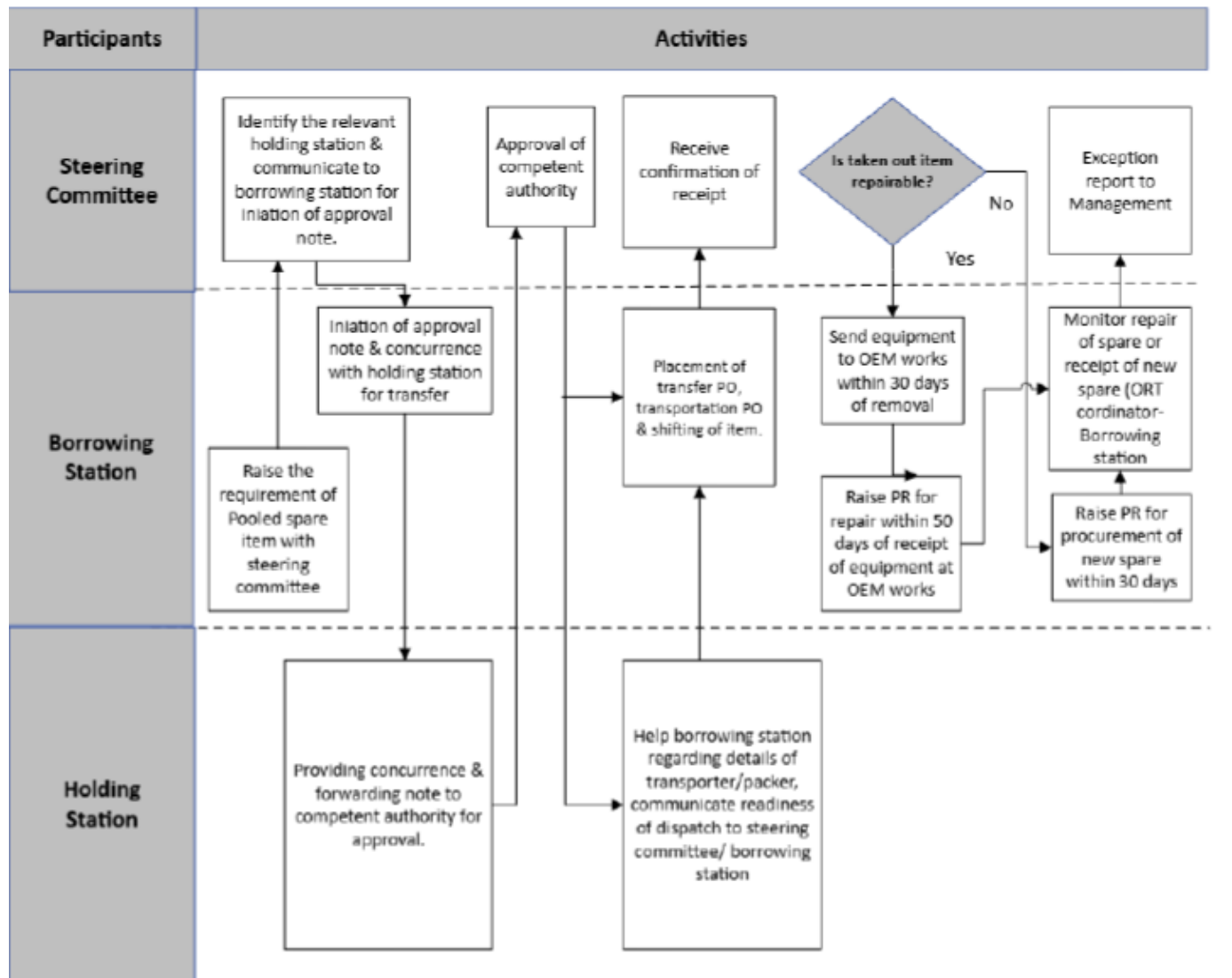
6.1.2 The holding stations would be responsible for:

- Ensure physical tagging and proper storage of the spares.
- Ensure maintenance & preservation of identified spares as per approved guidelines.
- The Head of the lending station is responsible for ensuring the fastest possible dispatch of the spare/equipment to minimise downtime.

6.2 Pooling Processes & Monitoring System

The process for request, issue & monitoring of pooled spares is outlined in the following flow diagram-1:

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07



Format for interchangeable Spares

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

1.0	Name of Borrowing station	
2.0	Details of Required Spare by Borrowing Station	
2.1.1	Description:	
2.1.2	Material Code:	
2.1.3	Existing Stock at the station	
2.1.4	Quantity Required	
2.1.5	Reason of Requirement	
2.1.6	If, already ordered then PO No./ Quantity Ordered, Name of Vendor, Scheduled Delivery date.	
2.1.7	If, not ordered then Place Open Order for procurement / repair	
2.1.8	Expected date of replenishment to the pool.	
3.0	Name of Holding station (To be decided by Steering Committee)	
3.1.1	Present stock at holding station	
3.1.2	Remarks of steering committee	

Undertaking (By Borrowing Station):

PR to be raised for new spare within 30 days (after removal & found not repairable) and for refurbishment PR to be raised within 50 days after receipt of equipment at OEM works (equipment to be sent within 30 days to OEM works after removal).

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

Head (Borrowing Station)

Head (Holding Station)

RED (Region-Borrowing):

RED (Region-Holding):

Approved By:

ED (OS):

Distribution:

RED (Region Holding Station)

RED (Region Borrowing Station)

7.0 TRANSFER/TRANSACTION OF STATION STOCK/MATERIAL

Ref.: Circular COS/Cir/ED/2025/01 dated 12.01.2025)

7.1 Stock /Material Transfer Within NTPC (Excluding Jv/Subsidiaries)

a) Internal Stock Transfer Process:

In case of a breakdown leading to forced outage or partial loss of generation, the borrowing station must first identify whether the required spare/equipment is available at any other NTPC station (excluding JV/Subsidiaries). The borrowing station then formally communicates its requirement to the Head of the lending station through phone, e-mail, or fax, with a copy to COS/ROS. The concerned group in COS coordinates the transfer, and both stations record and monitor the eventual return of the item in their ORT systems.

b) Timely Dispatch & Special Approvals:

The Head of the lending station is responsible for ensuring the fastest possible dispatch of the spare/equipment to minimise downtime. For pooled capital spares, transfers require prior approval from ED (OS), routed through the respective REDs of both lending and borrowing stations, to ensure proper authorisation and control.

c) Tax Applicability:

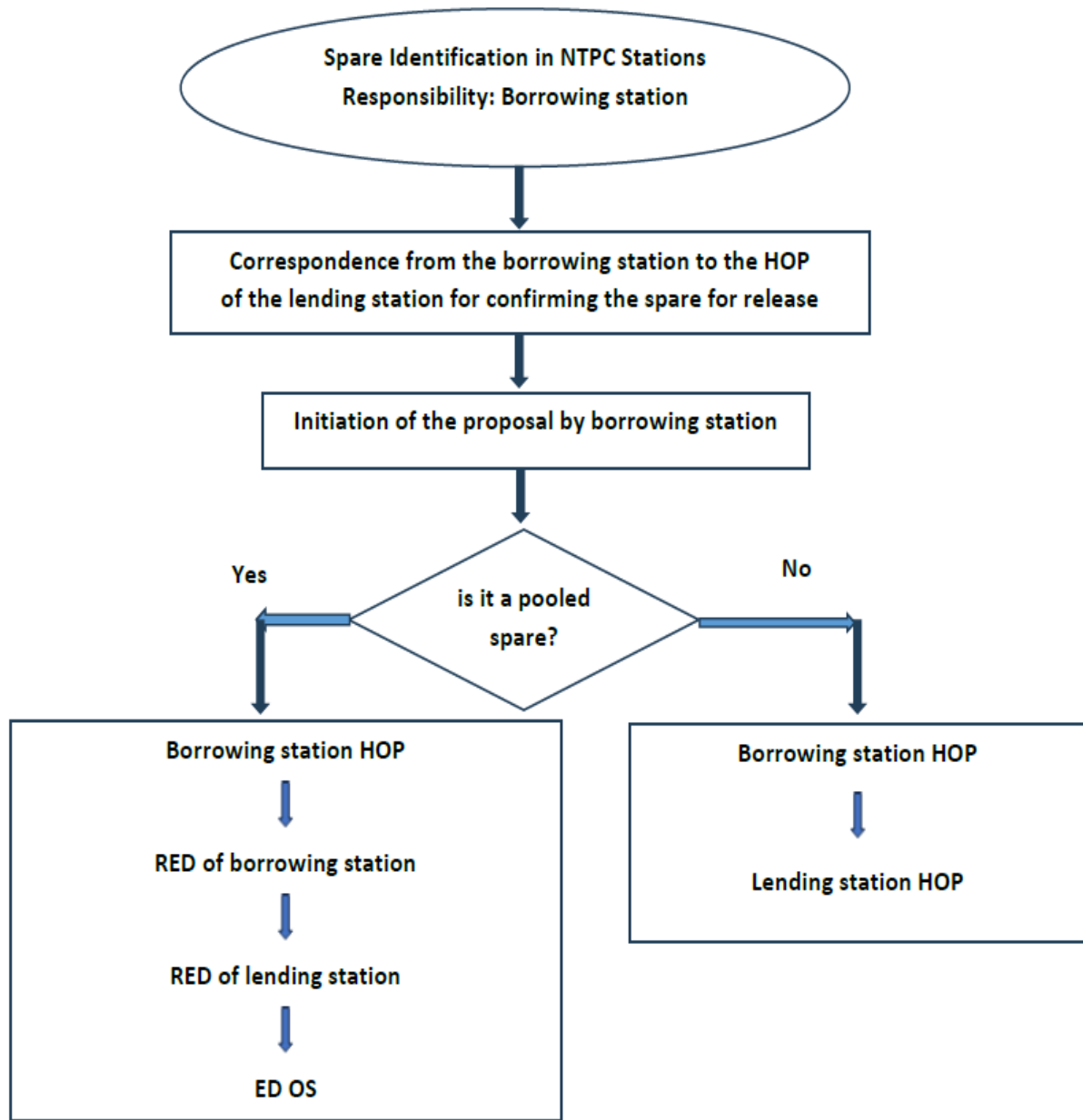
Transfers of spares between NTPC stations are exempt from GST. However, for transfers involving **materials other than spares**, a GST invoice must be issued, applying the relevant GST rate, to comply with statutory requirements.

d) Reference to Stock Transfer Manual:

All such transactions must be processed in line with the Stock Transport Manual dated 14.04.2020 (Annexure-I) or its updated versions, ensuring correct entries in SAP-ERP for tracking, documentation, and audit purposes.

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

7.1.1 Flow Chart for stock /material transfer with in NTPC (excluding JVs/Subsidiaries)



7.2 Transaction of materials between NTPC and its JV/Subsidiaries

a) RPT Compliance & Approvals:

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

Any material transfer between NTPC and its Joint Ventures or Subsidiaries on a returnable basis must comply with the *Operating Guidelines for Approval, Disclosure & Monitoring Mechanism of Related Party Transactions (RPTs)* dated 26.02.2024. Corporate OS will prepare and submit a consolidated proposal to the Audit Committee for annual **omnibus approval** covering both non-capital and capital spares (including pooled capital). Where urgent requirements cannot be foreseen, the Audit Committee may approve individual transactions up to ₹1 crore. All approved transactions will be reported quarterly, and the annual omnibus approval will be circulated to all NTPC units, JVs, and subsidiaries.

b) Borrowing Proposal:

The borrowing station must first locate the required material at a lending station and then prepare a proposal outlining the item details and a clear, time-bound action plan for returning it. This proposal must be routed through the respective CEO/RED of the borrowing station, then through the CEO/RED of the lending station, before receiving final approval from ED (OS).

c) Financial Terms:

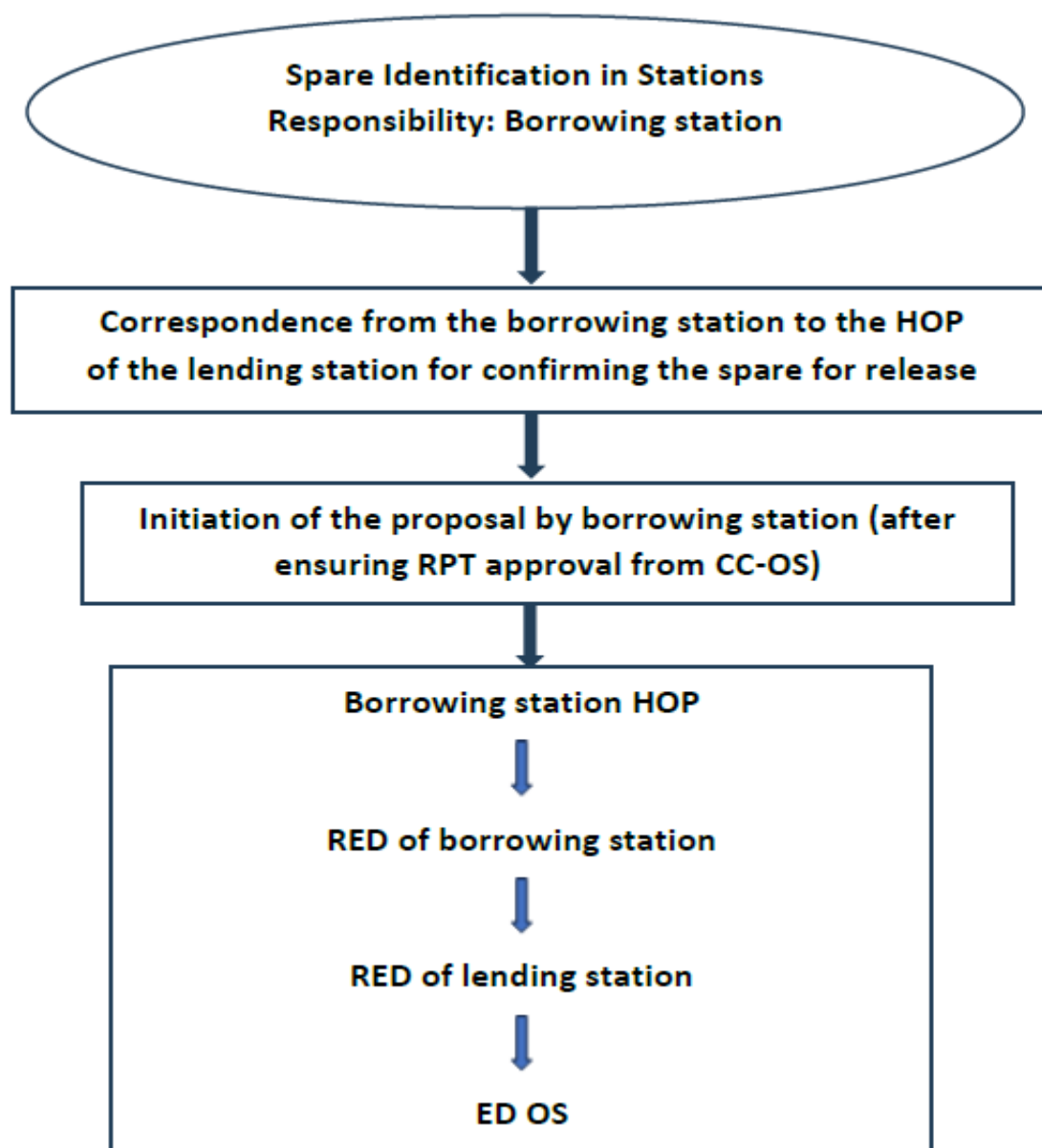
Before receiving the material, the borrowing station must deposit an amount equal to the Price Store Ledger (PSL) value of the material plus a 10% overhead and applicable GST, as calculated by the lending station. Upon return of the material in good condition, the deposit will be refunded after deduction of the 10% overhead. All accounting entries for these transactions must be processed in SAP using **T-code ZSDBILL**.

d) Cost & Liability:

The borrowing station is responsible for all expenses and liabilities arising from the transaction, including freight, insurance, and incidental charges for both outward and inward movement of the material, as well as any applicable taxes. Any damage, loss, or additional liability during transport will also be borne entirely by the borrowing station.

7.2.1 Flow Chart for Transaction of materials between NTPC and its JV/Subsidiaries

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07



7.3 Issue of materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to other power utilities outside NTPC group

a) Eligibility & Approval Process:

Before lending, NTPC group stations must confirm availability and ensure spares procured as *mandatory* for mega/non-mega projects or R&M schemes with indirect tax benefits are not issued.

- **Capital spares to Govt./State/PSU:** Reviewed by Head of Corporate OS; approved by

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

Director (Operations) in consultation with Finance.

- **Other spares to Govt./State/PSU:** Decision by Head of lending station; approval by concerned RED in consultation with OS & Finance.
- **Any spares to private entities:** Decision by lending station; approval by NTPC Board of Directors.

b) Terms & Conditions for Lending:

Borrower must commit to purchase new replacement spares from the OEM, issue PO to NTPC (copy to lending station), and return the borrowed item within the agreed timeframe. Spares are issued on *as-is-where-is* basis, with borrower bearing freight, packing, insurance, and incidental costs. Borrower must provide a **Bank Guarantee** covering the higher of market/book value + 25% handling charge + GST on (market–book value + handling). An **Indemnity Bond** in NTPC-approved format is also required.

c) Return, Quality & Penalties:

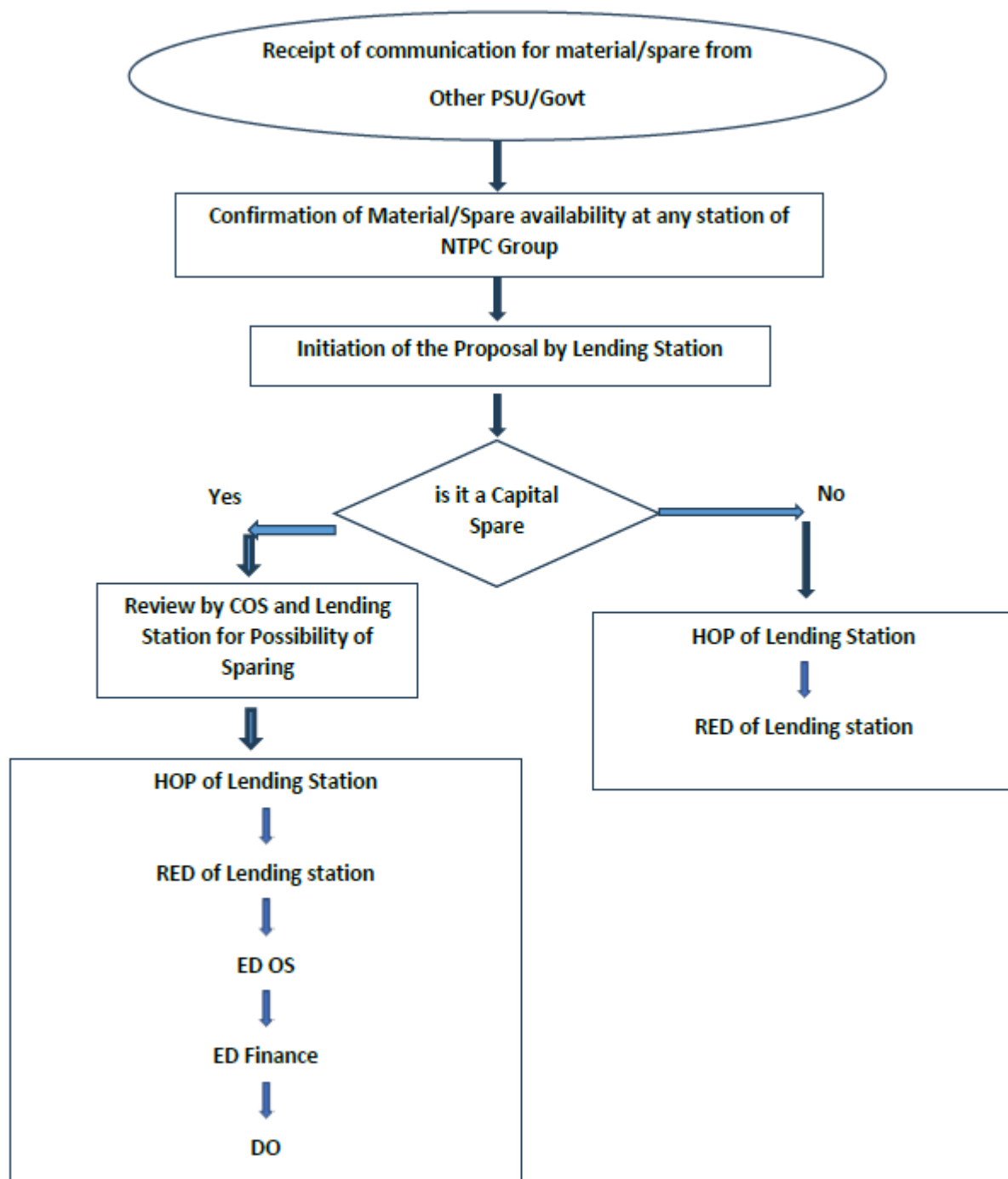
If spares are not returned within the agreed period, NTPC may encash the Bank Guarantee; extensions may be granted by the same authority that approved the issue. Returned spares must meet NTPC's Quality Plan, with compliance documentation submitted before dispatch.

d) GST & Special Cases:

GST is charged at the time of issue on book value and payable before handover. GST will also apply at the time of return, and in case of BG encashment, the difference between BG value and book value will be deemed inclusive of GST and invoiced accordingly. Surplus/obsolete spares will be disposed to other utilities per Corporate Materials Circular No. 97 or its latest revision.

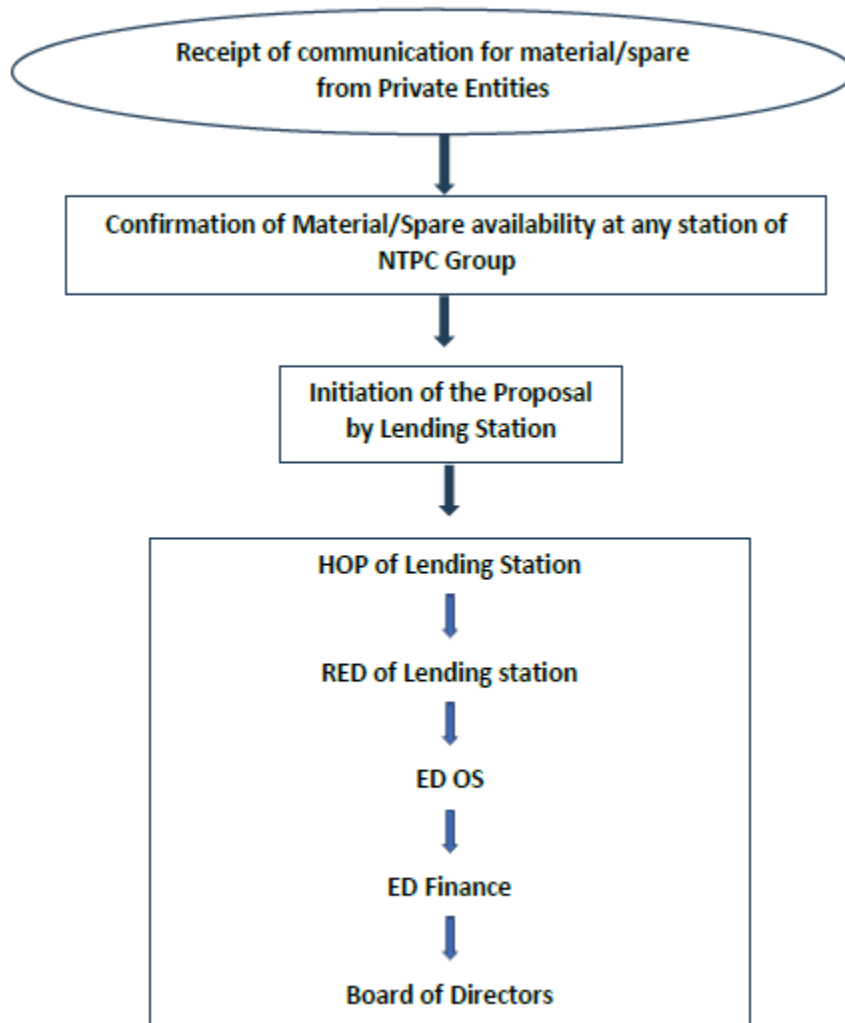
7.3.1 Flow chart for Issue of materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to PSU/Government Entities

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07



7.3.2 Flow chart for Issue of materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to Private Entities

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07



Annexure-I: Circular on Transfer/Transaction of Station Stock/Material

Circular on Transfer/Transaction of Inter Station Stock/Material is given below superseding all earlier circular

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07



CC-OS, EOC-Raipur

CORPORATE OPERATION SERVICES

CIRCULAR

Ref: COS/Cir/ED/2025/01

12th January 2025**Subject: Circular on Transfer/Transaction of Station Stock/Material**

Circular/IOM on Interstation transfer/transaction of stock/material have been issued from time to time for various cases. However, sometimes difficulties have been faced by stations regarding identification of the applicable circular to be followed. Considering the above & the latest applicable regulatory & taxation guidelines, and to further streamline the process, these circulars needed to be reviewed and consolidated. Accordingly, **a unified circular, encompassing all cases of transfer/transaction of Inter station stock/material is brought out as hereunder:**

1. Stock/Material transfer within NTPC (excluding JV/Subsidiaries)

- i. To minimise instances of loss of generation and DC on account of non-availability of spares after breakdown at a unit due to forced outage/partial loss, stock transfer within NTPC (excluding JV/Subsidiaries) for Valuated material (Inventory/Revenue spare) and non-valuated materials (Capital spare) shall be done as under:
 - a) Identification of the availability of the particular spare / equipment at another station shall be done by the borrowing station (where the failure has taken place).
 - b) Requirement of the spare/ equipment shall be intimated by the borrowing station to the Head of lending station (where the required spare/equipment is available) on phone / E mail / Fax, with a copy to COS/ROS.

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

- c) Head of lending station shall make arrangement of sending the spare to the borrowing station in the shortest possible time.
- d) Head of concerned group in COS shall coordinate the transfer of the spare from the lending station to the borrowing station.
- e) The return of the spare from the borrowing station to the lending station will be monitored in the ORT of both the stations.

Notwithstanding the above, transaction/transfer of all pooled capital spares shall be approved by ED (OS) after routing through respective REDs of lending station and the borrowing station.

- ii. For avoidance of doubt, applicability of taxes and duties is brought out here under:
 - a) Transfer of spares: No GST is payable
 - b) Transfer of material other than spares: GST invoice with applicable GST rate is to be raised.
- iii. Further, the Stock Transport Manual dated 14.04.2020 (**Annexure I**), as may be revised from time to time, may be referred to for processing the stock transfer in SAP-ERP.

2. Transaction of materials between NTPC and its JV/Subsidiaries

Many times, Joint Venture/Subsidiaries companies of NTPC request for issue of materials from NTPC on returnable basis. Similarly, it may also happen that in exigencies, NTPC may request its JV/Subsidiaries companies for issue of materials on returnable basis. Being different legal entities, it is essential that the lending and the borrowing entities complete the process of transactions with detailed documentation detailing terms of lending/borrowing, duration, return of material, depositing the payments etc.

In this context, transactions/transfer of material may be carried out in compliance of the followings:

- i. In compliance with the "Operating Guidelines for Approval, Disclosure & Monitoring Mechanism of Related Party Transactions (RPTs)" (read along with its enclosed Annexures) dated 26.02.2024, issued by Company Secretary, Corporate Operation Services shall put up agenda for Omnibus approval of the audit committee in respect of Sale/transfer of spares(non-capital) and Capital spares (including pooled capital) which may be required to be transacted with NTPC's JV/Subsidiaries to meet urgent technical requirement of spares for sustainable generation. In this regard, Omnibus approval value shall be decided

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

based on last 3 years omnibus approvals. Following the guidelines, Executive Director (Operation Services), shall place the consolidated agenda before the Audit Committee. Further, in compliance to the policy, actual transactions against the omnibus approval shall be put up to audit committee on quarterly basis. Omnibus/annual approval for the next financial year shall be obtained before end of previous financial year as per the procedure prescribed in the RPT policy, based on estimated requirements to meet any exigency.

Where the need for related party transaction cannot be foreseen and details required for omnibus approval are not available, Audit Committee may grant omnibus approval for such transactions subject to their value not exceeding Rs 1.00 crore per transaction.

Omnibus approval shall be communicated to all the units of NTPC, JVs & subsidiaries on a yearly basis by Corporate OS.

- ii. Based on requirement, borrowing station shall put up proposal for borrowing after identifying the lending station where the required material is available and provide a firm action plan of returning the material. The proposal shall be approved by ED (OS) after routing through respective CEO/RED of borrowing station and the lending station, in that order.
- iii. Borrowing station shall deposit the amount (Price Store Ledger (PSL) value +10% Overhead+ GST)) as worked out by the lending station. Upon returning of the material, the amount deposited shall be returned after deducting 10% Overhead. Necessary accounting through T code- ZSDBILL to be ensured.
- iv. The freight, insurance and any other incidental charge incurred in outward and inward movement of the material from/to lender and tax liabilities shall be to the account of the borrowing station.
- v. Any further liability incurred during to and fro movement of the material shall also be to the account of borrowing station.

3. Issue of materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to other power utilities outside NTPC group

NTPC has been receiving requests from other power utilities for issuance of equipments/ spares on returnable basis. Considering the above, for Issue of materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to other power utilities, outside NTPC group, shall be carried out in compliance of the followings:

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

i. Prerequisites for transfer

The lending stations of NTPC group company to ascertain whether the equipment can be spared. Further, spares which have been procured as mandatory spares for mega/non-mega power project and under Renovation & Modernisation scheme for which exemption/ benefits have been availed under indirect taxes will not be issued to other power utilities.

ii. Transfer of Capital Spares applicable for Central Govt./State Govt./Public Sector Undertaking (PSU)

- a) On receiving the request for any capital spare from a power utility outside NTPC, the same will be reviewed by the Head of Corporate OS in consultation with the lending station and a decision will be taken, whether the capital spare requested by borrower can be issued or not.
- b) Approving authority for all such items will be Director (Opn.) in consultation with Finance.

iii. Transfer of other Spares applicable for Central Govt./State Govt./Public Sector Undertaking (PSU)

- a) On receiving the request for a normal spare from a power utility outside NTPC, the same will be reviewed by the head of lending station and the decision whether the spare requested by borrower can be issued or not, will be taken by the lending station.
- b) The approving authority for issuance of such spares will be concerned RED in consultation with OS and Finance.

iv. Material transfer request to Private Entities shall be considered subject to the approval of the Board of Directors.

- a) On receiving the request for a spare from a power utility outside NTPC, the same will be reviewed by the head of lending station and the decision whether the spare requested by borrower can be issued or not, will be taken by the lending station.
- b) The approving authority for issuance of such spares will be Board of Directors.

v. Terms & conditions for transfer of Capital/ other Spares

- a) Spares issued will be taken back from the borrowing entity who should purchase from the Original Equipment Manufacturer (OEM) in new condition only. The borrowing entity has to give the purchase order for the

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

spare to the OEM. The delivery address of shipment shall be of the lending station of NTPC or as decided by NTPC. A copy of the purchase order shall be given to the lending station by the borrowing entity within the time frame mutually agreed.

- b) The borrowing entity shall take the spare on 'as is where is' basis/ i.e. freight, packing, insurance and all incidental expenses incurred during the outward/inward movement of the spares will be borne by the borrower.
- c) The borrowing entity shall furnish a bank guarantee covering following elements:
 - i) spares issue value which will be higher of Market value and book value of the spare
 - ii) Handling charge @ 25 % of the spares issue value
 - iii) GST at applicable rate on spare issue value and handling charges as reduced by the book value of the issued spares.

Example for calculation of GST: Assuming book value of a spare is Rs.100/-, market price Rs.125/- and 25% handling charges on Rs.125/- is Rs.31/-, GST say @ 18% will be calculated on Rs.56/- (125-100+31) i.e. Rs. 10.08 say Rs. 10. Value of Bank Guarantee required will be Rs. 166 (Rs.125+31+10).

Market price may be determined as per Last Purchase Price (LPP) with suitable escalation/budgetary offer by lending station from OEM. The format for BG will be as per the advice of legal cell.

- d) If the borrowing entity does not return the borrowed spares within the agreed time frame, NTPC is free to exercise the option of encashing the bank guarantee. However, extension in the time agreed for return of material may be given by the competent authority (same as for issuance of spares) to borrowing entity, on receipt of satisfactory justification.
- e) The borrowing entity shall include in the PO the quality requirement/ Quality Plan as per NTPC practice. Documentation confirming quality compliance meeting NTPC Quality Plan as given to borrowing Entity will be required to be furnished to the concerned NTPC station receiving the spare, for getting clearance prior to dispatch of the spare.
- f) In case of Material Transfer to any entity of Central Govt./State Govt./Public Sector Undertaking (PSU)/Private Entity, apart from the Bank Guarantee to be submitted by the borrowing entity as per the existing provision, an Indemnity bond also to be submitted by the borrower to the lending station of NTPC to indemnify against all losses, claims, demands, proceedings, expenses, costs and consequences etc. that may occur in the absence of the issued spare until the spare is made available to NTPC, in the legally vetted format provided by the lending station of NTPC.

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

vi. Applicability of GST

- a) At the time of issue, NTPC will raise GST invoice on borrowing entity at book value of the spares and charge GST thereon. GST will be collected from borrowing entity before handing over of spares.
- b) At the time of return of spares, GST as applicable will have to be borne by the borrowing entity.
- c) In case of encashment of bank guarantee due to non-returning of the spares, one more invoice shall be raised on the borrowing entity for the difference between the amount of BG encashed and book value of the spare. This difference in value will be deemed as inclusive of GST. Second invoice shall be issued to account for the difference between the amount of BG encashed and book value and payment of GST. Continuing example at iv. c) above, in case of encashment of Bank Guarantee, difference of Bank Guarantee value and book value of spare i.e. Rs. 166 minus Rs. 100 will be total invoice value and it shall be deemed to be inclusive of GST.

vii. Transfer of Surplus / Obsolete spares

Surplus/ obsolete spares to be issued to other utilities will be as per the existing Corporate Materials Circular No. 97 for disposal procedure of un-serviceable, obsolete and surplus items of Non-Moving nature or any revision thereof, whichever is later.

Based on experience of issuing materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to other power utilities or due to any other concerning issues, revision of the circular, as and when required, may be done in due course.

4. Management Information System (MIS)

Records of material transfer to other stations and status of outstanding materials yet to be received at lending station, done on returnable basis as per the subject policy, is sought from time to time by Internal / Statutory Auditors etc. from corporate finance. Accordingly, capturing of MIS for all cases of material transfer under the subject policy Shall be done as under:

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

i. Stock/Material transfer within NTPC (excluding JV/Subsidiaries)

The approval of transfer of Stock/Material would be taken through ERP/PRADIP System. This would facilitate monitoring of spare for which the stock transfer approval has been taken. STO would be prepared with respect to the material for which the approval has been taken in the system. This would further be linked with the Gate Pass system already implemented on SAP.

ii. Transaction of materials between NTPC and its JV/Subsidiaries

Necessary accounting and MIS through T code- ZSDBILL is already in place.

iii. Issue of materials from NTPC group (i.e. NTPC and/or its JV and/or Subsidiaries) units/plants to other power utilities outside NTPC group

Necessary accounting and MIS through T code- ZSDBILL is already in place.

This Circular supersedes all previous circulars issued by Corporate OS regarding material transfer on returnable basis. This issues with approval of the Competent Authority.

This shall come into force with immediate effect.

MANOHAR
KAMA
APELAGUNTA

Digitally signed by
MANOHAR KAMA
APELAGUNTA
DN: c=IN, o=NTPC, ou=Corporate OS, email=manohar.kama@ntpc.co.in

**Executive Director (OS)
(Apelagunta Kama Manohar)**

Distribution:

1. All executives of COS and COS website
2. All Heads of MTP / P&S / FES / O&M /C&M of Stations
3. All HOD(O&M)/Heads of Stations
4. Sectional Heads at USSC- F&A
5. All EDs/ REDs: for kind information please
6. STA to Director (Operations): for kind information please

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07



NTPC LIMITED
Company Secretariat department

26th February 2024

Operating Guidelines for Approval, Disclosure & Monitoring Mechanism of Related Party Transactions (RPTs)

- 1) The approval, disclosure & monitoring mechanism of RPTs of the Company shall be in accordance with provisions of the Companies Act, 2013, SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 [SEBI (LODR) or Listing Regulations 2015] as amended from time to time. The accounting & disclosure of RPTs is governed as per Ind AS 24 "Related Party Disclosures". It covers RPT not only between NTPC and its related parties (RP), but also includes RPT between NTPC or any of its subsidiaries on the one hand and RP of NTPC or any of its subsidiaries on the other hand.
- 2) Board of Directors of the Company in their 539th meeting held on 29th January 2024 has approved the revised Policy on Materiality of Related Party Transactions and on Dealing with Related Party Transactions (hereinafter referred to as the 'RPT Policy') (enclosed as Annexure-A).
- 3) Keeping in view the above, a summary of the approval required under different categories of RPTs is as follows:

Category of the RPTs	Competent Authority to approve the Transactions	Exemption, if any available from approval
A. Transaction between NTPC & its Related Parties		
1. All RPTs and any subsequent material modifications (i.e. change in value of contract by 35% or more) and other modification of approved RPTs	Audit Committee	*RPTs deemed to be Approved as per RPT Policy
2. RPTs not in the Ordinary course of Business (OCB) and/ or not on Arm's Length Basis (ALB), with a limit upto Rs.1000 Crore.	Board through Audit Committee	Transaction of NTPC with following: - 1. Other government cos. 2. Company's Wholly Owned Subsidiaries (WOS)
3. Material RPTs (i.e. transactions exceeding Rs.1000 Crore) and material modification (i.e. change in value of contract by 35% or more) of approved RPTs.	Shareholders through Board through Audit Committee	
B. Transaction between NTPC & Related Parties of Subsidiaries		
1. All RPTs upto Rs.1000 Crore in a FY	Audit Committee	Transaction between NTPC and other government cos.
2. All RPTs above Rs.1000 Crore in a FY and material modification	Shareholders	

1

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

- 4) Further, following transaction(s) (as per Section 188 of the Companies Act, 2013) between NTPC with WOS, will not require approval of the Audit Committee if such transactions are in the OCB and on ALB,
- sale, purchase or supply of any goods or materials;
 - selling or otherwise disposing of, or buying, property of any kind;
 - leasing of property of any kind;
 - availing or rendering of any services;
 - appointment of any agent for purchase or sale of goods, materials, services or property;
 - such related party's appointment to any office or place of profit in the company, its subsidiary company or associate company; and
 - underwriting the subscription of any securities or derivatives thereof, of the company.
- 5) The Operating guidelines for approval of Related Party Transactions (RPTs) as per the enclosed RPT Policy shall be as under: -
- A list of tentative RPTs for which approval is required, subject to RPT policy, is enclosed as **Annexure – B**.
 - In case of repetitive transactions which are in ordinary course of business and on arms' length basis, Audit committee may grant omnibus approval for RPTs proposed to be entered into by the Company or its subsidiary subject to prescribed conditions and requisite information as mentioned in the RPT Policy.
 - Where the need for related party transaction cannot be foreseen and details required for Omnibus approval are not available, Audit Committee may grant omnibus approval for such transactions subject to their value not exceeding Rs.1.00 crore per transaction.
 - The agenda put up for approval of Audit Committee **must contain** information about the fact that whether the transactions are at arm's length basis or not along with justification for determination of arm's length basis as per the RPT Policy.
 - The Proposals seeking approval of RPTs from Audit Committee / Board/ Shareholders, the formats already prescribed by Company Secretariate department (enclosed herewith again for reference as **Annexure-C**) shall be attached with the Agenda Note.
 - All departments shall obtain Omnibus/ Annual approval, if required for the next financial year before end of the previous financial year as per the procedure prescribed in the RPT Policy.
 - It is suggested that in addition to above Omnibus / Annual approval, approval for unforeseen transaction upto an amount of Rs.1 Crore per transaction be taken under the Omnibus approval.
 - All departments who have taken omnibus approval from Audit Committee, shall submit a detailed utilization statement containing particulars of contracts awarded, works executed, balance value for each quarter with cumulative status, to Corporate F&A by seventh of end of each quarter.

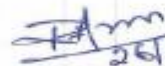


TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

- i) Prior approval of Audit Committee/Board shall be required for all the potential RPTs of the Company. Finance Concurrence group / Corporate Accounts Group shall review the existence of approvals of Audit Committee for related party transactions while releasing the Purchase Orders in SAP.
- j) However, Corporate F&A shall carry out review of executed related party transactions vis-à-vis approvals available at the end of each quarter and intimate to all concerned sections for obtaining approvals of Audit committee for pending transactions, within 15 days of end of each quarter.
- k) List of officers/departments responsible for placing consolidated agenda before the Audit Committee and/or Board of Directors of all Related Party Transaction(s) requiring approvals (including omnibus approval) in accordance with this policy, shall be as under:

Sr. No	Matters	Concerned Department / official
1.	For Contracts Related Transactions:	ED (CC&M)
2.	For Consultancy Assignments:	ED- Consultancy Wing through concerned Director
3.	For properties / premises / vehicle / given on lease/rent and training provided to employees of JVs/ Subsidiaries	HR Department through Director (HR)
4.	For further investment/ loan/ guarantee in JVs/ Subsidiaries:	Business Development Department through concerned functional Director
5.	For Other Matters	The Executive Director through the Concerned Functional Director

This is issued with the approval of the competent authority. Clarification if any, may be obtained from Company Secretariate department.


26/02/2024

(Ritu Arora)
Company Secretary & Compliance Officer

Encl: - (a) Annexure-A-RPT Policy of the Company.
(b) Annexure-B- List of tentative RPTs
(c) Annexure-C- Formats

Dist: - 1. All EDs / REDs
2. All functional Directors
3. STA to CMD-for kind information

8.0 RECORD KEEPING

MTP is responsible for keeping list of Pooled spares status at Simhadri.

9.0 REVIEW:

HOD (MTP) will review & take the approval of competent authority (HOP). The document will be reviewed on 2 yearly basis or earlier, if required.

10.0 DISTRIBUTION LIST:

TITLE	System for pooling of interchangeable high value spares
LMI No.	LMI/OD/OPS/SYST/014 Rev:07

LMI will be available in pdf format on LAN.

11. ANNEXURE-A: LIST OF POOLED SPARES AT SIMHADRI

SI	Description		Quantity Procured	Quantity Available as on date	Dept	Remarks
1	HPT Rotor	St-II	2	2	TMD	1New + 1Old
2	HPT Rotor	St-I	1	1	TMD	available
3	HP Inner Casing	St-II	1	1	TMD	available
4	HP Inner- Casing	St-I	1	1	TMD	available
5	IP Rotor + IP Inner casing	St-II	Rotor-1 Casing-1	Rotor-1 Casing-1	TMD	available
6	LP Rotor	St-II	1	0	TMD	1 sent to Talcher in June 2025
7	IP Rotor	St-I	1	1	TMD	Removed from U-2 during OH in Dec 2020.Kept as spare at site as per OS recommendations
8	IP Inner casing	St-I	1	1	TMD	Removed from U-2 during OH in Dec 2020.Kept as spare at site as per OS recommendations
9	Gen Exciter	St-I & II	1	0	EMD	1 under repair (200145834) (u4 repaired exciter utilized in U#3, U3 Exciter removed during u#3 OH & sent to BHEL Haridwar on 22.7.25)
10	Generator's H2 Compressor Blades Set	St-I & II	1 Set	1 Set	EMD	Procured as pooled spare as per guidelines of CC-OS

(TMD pooled spares are not interchangeable between Stage-I & II)